SABLE HARBOR

SABLE HARBOR — GOVERNANCE CONSTITUTION

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Constitutional principles

1. **Authority follows exposure and accountability.** Authority belongs with people accountable for, knowledgeable of, and able to manage the exposure. It expands with demonstrated competence and judgment and may contract when exposure outruns control. Title alone is insufficient; peers may appropriately hold different latitude.

2. **Freedom inside the envelope; discipline at the boundary.** Experimentation inside an explicitly approved strategic/risk envelope is presumed permissible. Ask whether an action crosses the boundary, not repeatedly whether experimentation is allowed. Bounded experimental failure is expected; control failure at the boundary is different.

3. **Govern consequence, not uncertainty.** Escalation turns on irreversibility, external propagation, catastrophic potential, and legal, regulatory, environmental, community, safety, or uncontrolled enterprise exposure.

4. **Authority carries challenge and humility.** Accountable insiders retain authority but must seek and seriously consider informed challenge. Advice informs judgment; it does not confer authority. No “original” group is a permanent caste.

5. **Conflict integrity.** Directors act for Sable Harbor. Disclosure, independent consideration, and recusal govern actual/apparent conflicts.

Founder conviction earns latitude, listening, and strategic runway—not sovereignty. When a matter belongs to the board, Daniel must persuade it. Pre-decision: argue hard. Post-decision: execute fully.

Decision bands

Band 1 — Management. Management operates inside approved strategy, budget, and exposure envelope.

Band 2 — Board-reserved. Annual strategy/budget; material unplanned commitments; material debt/guarantees; entity creation; material related-party matters; consequential but nonexistential M&A; senior executive appointment/removal; and major plan deviations.

Band 3 — Transformational. Matters capable of changing what Sable Harbor is: sale/control, genuinely new regulated domain or asset class, enterprise-threatening leverage, fundamental restructuring, or existential strategic bet.

The board culturally targets broad support roughly equivalent to 5/9 for ordinary reserved matters and 6/9 for transformational matters. These are not automatic legal supermajority rights. Exposure outranks spend. Related commitments cannot be sliced to avoid escalation.

Subsidiary autonomy and contagion

A subsidiary has a right to be wrong inside its approved envelope. Corporate preference alone cannot pull a delegated decision upward. Intervention identifies a real contagion path: parent guarantee, shared scarce capacity or liability, enterprise reputation/regulatory effect, cross-business dependency, or common capital exposure.

Rapid control-function adjudication

A material adverse finding compels rapid escalation but is not automatically a veto. Only credible catastrophic safety/operating risk or credible unlawful conduct pauses the specific disputed action pending review. The accountable executive names the decision, finding, authority, safeguards, and needed evidence; initial handling targets 48 hours. Protected disputes ordinarily receive initial adjudication within 72 hours. One tightly bounded extension may be granted only for identified evidence, with reason and new deadline recorded. Governance is a crash-prevention system, not a parking brake.

Assumption of Risk

A properly authorized decision-maker proceeding despite a material adverse finding records: decision; finding/dissent; known evidence; important assumptions; foreseeable consequences; mitigations; and accepting authority. No one may assume risk beyond their office or owned by another accountable party.

If the board overrules management, the board owns strategic authorization risk and management owns execution quality. Recorded dissent remains dissent; good-faith execution is not retroactive endorsement, and sandbagging is prohibited. Material new information may reopen the matter. Judgment ownership is never rewritten.

Abstention and information deficiency

“I don't know” is permitted. Consequential abstention records substantive reason, missing information, and what would enable better judgment where knowable. Repeated abstention prompts inquiry into intelligence, process, briefing, structural access, or individual fitness. There is no mechanical strike rule. I don't know is acceptable; refusing to find out is not.

Decision quality and AAR

Outcome does not determine decision quality. Review asks whether ex-ante reasoning was competent, evidence appropriately gathered, assumptions visible, contrary evidence considered, controls followed, and lessons absorbed.

Hot washes, AARs, postmortems, forecast accountability, explicit lessons, and changed models/controls are institutional practice. Authority does not contract merely because a competent probabilistic decision loses, but the system adapts. Sable Harbor is slow to condemn or fire solely for variance, fast to examine and correct, relentless about learning, hard on ideas/evidence, and never demeaning. Respect is non-negotiable; rank grants no immunity.

Information principle

Immaculate Intelligence means sharing the important questions, not forcing shared answers. Maximum useful visibility; minimum necessary restriction. Questions are common property and propagate wider than answers. Restriction follows information nature, not rank, and creates named ownership, reason, challenge, review, and reconsideration. Where lawful, the system may disclose that relevant restricted material exists. Access failure is studied as an intelligence failure.